Riot Platforms (RIOT)

3Q26 | 5 November 2026 | Earnings Update | Post-call version | Josh, with Trevor and Scott

1 Executive snapshot

Consensus thesis. Investors own Riot as a power-rich Texas landlord with 241 MW leased, a non-binding Corsicana LOI, and funding from bitcoin sales and project debt instead of new shares, and they doubt the backstop, the bridge refinancing and the value of unleased power.

Thesis status. Strengthening

Versus expectations. Quarter beat: revenue $181.4mn against about $160.4mn to $160.7mn (+13%); diluted EPS $0.01 against about -$0.33 to -$0.34, helped by bitcoin marks. Outlook above: the Corsicana LOI became a binding lease, larger than the LOI.

Biggest changes. (1) Corsicana is explained: 910 MW take-or-pay 'regardless of utilization', rent within 60 days of pad delivery, tenant owns modules and pays opex, about 33% unlevered yield on about $5.5bn. (2) Funding plan disclosed: base case 80% to 90% loan-to-cost, $4.4bn to $4.9bn non-recourse from 2027; fallback, tenant funds reimbursements with rent credits at 12%. Corsicana and Rockdale capital $7.6bn to $7.8bn (portfolio $7.7bn to $7.9bn), debt $6.1bn to $7.0bn, Riot equity $800mn to $1.5bn through mid-2028. (3) Riot's sources: about $2.1bn, being $950mn liquidity, about $900mn rent before debt service, $180mn expected AMD term loan and $110mn other. Only the $950mn is in hand. No project debt has closed. (4) Same 1 GW load supports 910 MW against 756 MW on a Tier 3 design, and capital about halves, with $130/kW-month starting rent. (5) Mining at Corsicana winds down around summer 2027; lease revenue guided at about $23mn in 2026, $250mn in 2027, $1.8bn in 2028 and $2.3bn in 2029.

Investor takeaway. The consensus view should move up: the call shows a credible way to fund Corsicana, and project-level returns are high, but credit quality improves only if the 2027 debt closes, since one lab without an investment-grade rating holds about 96% of contracted MW and the $573mn bridge's 31 December maturity went unaddressed.

Monitor next quarter. (1) Bridge maturity 31 December and Rockdale high investment-grade counterparty: name and bond launch. (2) Corsicana debt launch in 2027, or use of 12% rent credits. (3) First Corsicana block June 2027 and 400 MW by September 2027 (10-Q); AMD 10 MW this month.

Post-call version. Sources: 3Q26 10-Q and 8-K (EDGAR, 4 November), release (StockTitan copy), machine-generated Motley Fool transcript with AI quality control; quotes need checking against the audio. The transcript reads '$3.8 billion' and '$7.2 billion' for contracted value where other material says about $38bn; we use the release. The 10-Q names Anthropic PBC; on the call management said only frontier lab. No knowledge base on this run.

2 Key changes this quarter

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Rockdale delivers on schedule	AMD 10 MW November; AI lab 96 MW December 2027	Dates kept. Base rent $7.7mn on 25 MW. About 70% of Rockdale cost under a GMP being finalized; Riot retains the rest	Confirmed	Release; 10-Q; call
P2 IG backstop for lab tenant	Backstop finalized 'fairly quickly'	'High investment-grade counterparty' still being finalized; no name or date. Corsicana relies on the 12% fallback	Unresolved	Call
P3 Funded without common equity	Bridge refinanced; AMD loan closes; BTC covers equity	No equity in 2026, none anticipated for announced projects. Sources about $2.1bn against $0.8bn to $1.5bn, but about $1.2bn of it is future rent or unclosed. ATM and bridge maturity not addressed	Unresolved	Call
P4 Corsicana becomes a lease	LOI up to 756 MW, more than $1bn rent	910 MW, about $1.8bn average rent, effective 4 November	Confirmed	Release; 10-Q; call
P5 Mining bridges the gap	No forced selling	Cost to mine ex-depreciation $39,265; 20,264 BTC sold year to date for $1.5bn; 2,418 BTC left; ramp-down at Corsicana from about summer 2027	Confirmed	Release; call

Emphasized more: capital intensity, take-or-pay language, sources and uses for the whole portfolio; acknowledgement of tighter credit. Emphasized less or dropped: bitcoin as a treasury; the 31 December bridge date; the end of the Rockdale power block in October 2027. KPIs more important: contracted NOI, liquidity against equity need, delivery. Less: hashrate. Risks up: lab concentration. Down: unleased power value; Riot's

share of Corsicana capital, since base-case debt covers 80% to 90% rather than leaving the $1.82bn we flagged pre-call. Margin moves structural once rent starts.

Analyst focus matrix

Topic	Who asked in 3Q26	Questions	Rating of answers
Capital structure of lease	Morgan Stanley	2	Direct
Build cost risk	Northland (2)	2	Direct; 'A GMP doesn't remove every risk'
Sites and mining wind-down	Macquarie	2	Direct
Texas rules	JPMorgan	2	Direct; interconnects approved and operating
Lab credit, termination, bridge, ATM	None	0	Not asked

Trevor's watch-list. No analyst was named by CK; I chose Grondahl (Northland), the closest to a credit question on this call, with one transcript held so the pick is thin. 3Q question: how much of Rockdale's $11mn-$12mn per MW is fixed and who bears the risk? Answer: about 70% under a GMP being finalized, the rest owner-furnished, ordering finishing this month; Riot keeps non-GMP, site-condition and owner-furnished risk. Rating: direct. Later evidence: final GMP and contingency use. Wider point: eight questions and none on tenant credit, termination rights, the bridge or the ATM, after a lease with 96% of MW on one unrated lab. Ratings are our judgment. — Trevor

3 KPI dashboard

Metric	This qtr	Prior qtr	Same qtr last year	QoQ / YoY flag
Revenue ($mn)	181.4	174.2	180.2	[~] +4.1% / +0.7%
Bitcoin mining revenue ($mn)	116.0	n.a.	160.8	[↓] n.a. / -27.9%
Data center revenue ($mn)	18.4	n.a.	nil	[↑] n.a.
of which base rent ($mn)	7.7	4.9	nil	[↑] +57%
Engineering revenue ($mn)	47.0	n.a.	19.1	[↑] n.a. / +146%
Adjusted EBITDA ($mn)	191.3	-69.7	197.2	[?] marks; about $19.4mn ex $171.9mn BTC gain [INFERENCE; $176.0mn realized losses may be netted]
Operating income ($mn)	1.2	n.a.	80.1	[↓] n.a. / -98.5%
Operating margin	0.7%	n.a.	44.5%	[↓]
Diluted EPS	$0.01	-$0.68	$0.26	[?] marks
BTC produced	1,637	1,587	1,406	[↑] +3.2% / +16.4%
Cost to mine ex-dep. ($/BTC)	39,265	49,912	46,324	[↑] -21% / -15%
BTC sold (quarter)	10,599	n.a.	n.a.	[?]
BTC held	2,418	11,380	n.a.	[↓] -79%
Cash incl. restricted ($mn)	748.2	548.9	n.a.	[↑] +36%
Book debt ($mn)	656.6	n.a.	n.a.	[?]
D&A ($mn)	123.9	n.a.	n.a.	[?]
Contracted critical IT MW	1,151*	241	n.a.	[↑] *from 4 November
Shares (mn)	375.1	378.0	n.a.	[~]

Note: for cost, debt and dilution lines, [↓] means worse for shareholders. 2Q segment revenue was not in the sources read. Corsicana is a subsequent event, not in the 30 September balance sheet.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
Corsicana delivery	400 MW Sept 2027; 200 MW Jan 2028; 310 MW July 2028	New	n.a.	Rent no later than 60 days after pad delivery	Not challenged
Contracted NOI	About $2.2bn at full deployment; revenue about $2.3bn	New	n.a.	Portfolio 28% yield on $7.7bn-$7.9bn	Not challenged
Corsicana capital	About $6mn per MW; about $5.5bn total	New	n.a.	About half a top-tier build (CEO)	Morgan Stanley asked why this structure
Lease revenue	About $23mn 2026; $250mn 2027; $1.8bn 2028; $2.3bn 2029	New	n.a.	Delivery schedule	Not challenged
Equity	None anticipated; Riot $0.8bn-$1.5bn through mid-2028	Maintained	Doubted by the market	Existing liquidity for Riot's share	ATM not asked
Corsicana debt	80%-90% LTC, $4.4bn-$4.9bn, from 2027	New	n.a.	Fallback rent credits at 12%	Not asked

Underlying economic performance: mining is carrying costs better than feared, on lower cost to mine and credits, but cash burn remains: operating cash flow about -$214mn in 3Q (9M -$487.1mn, H1 -$272.8mn). Adjusted EBITDA is dominated by bitcoin marks and should not be read as run-rate.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Power and sites	Strong	Up	Corsicana whole campus leased; 1,151 MW contracted	Approved power is what tenants paid for
Tenant quality	Weak on rating	Mixed	Anthropic on 1,101 of 1,151 MW; backstop not seen	Rent is large; credit is the discount rate
Cost of capital	Unproven	Unknown	No debt closed; AMD loan expected near SOFR+250; 12% fallback	Fallback caps funding cost near 12%
Execution	Good, short record	Stable	AMD delivered; engineering arm grew revenue to $47.0mn	Large phases start in 2027
Capital intensity	Better	Up	About $6mn per MW against $11mn to $12mn at Rockdale	Tenant bears compute and modules, so less capex and lower rent

5 to 10 year view: a powered-land landlord earning about 99% NOI margin if the lab survives and pays. The asset is land and power, re-lettable at a price set by the market; the tenant's compute sits on the tenant's balance sheet, which limits Riot's exposure to GPU residual value.

6 Major risks and changes

Risk	Prior	Current	Direction	Implication
Tenant concentration and credit	High	Higher	Up	About 96% of MW with one unrated lab (Anthropic per 10-Q); termination and re-letting rights not addressed
Bridge and backstop	High	Unresolved	Flat	$573mn bridge, 31 December per August 8-K; call gave no date or name
Funding of Riot's share	Elevated	Elevated	Down	$0.8bn to $1.5bn against $950mn in hand plus rent that starts with delivery; no project debt closed
Delivery	Moderate	Moderate	Up	400 MW September 2027; rent credits and rent timing hinge on it
Unleased power value	High	Lower	Down	Corsicana contract answers the doubt

Concern: can a lab-backed lease be financed? → Response: 80% to 90% non-recourse debt in 2027; tenant funds with credits at 12% if not. → Evidence: no debt closed; management acknowledges a tighter credit market. Concern: rent math. → Response: not addressed. → Evidence: $130/kW-month, 3% escalators, simple start gives about $26.4bn against $28bn; the term running from Phase 3 explains about $1.2bn. About $1.8bn average rent is about $165/kW-month. Concern: Texas. → Response: interconnects approved and operating, no further approval needed. → Evidence: unlike Hut 8's Beacon Point; not tested by an analyst beyond

JPMorgan.

7 Capital, funding and per-share impact

Site	MW	Tenant	Lease value	Capex	Funded by	Status
Rockdale AMD	50	AMD	About $311mn on first 25 MW	About $171mn	Balance sheet; DDTL	25 MW billing; 10 MW November 2026; 15 MW May 2027
Rockdale AI lab	191	Frontier lab	About $9.1bn over 20 years	$2.1bn to $2.3bn	$573mn bridge; takeout not seen	96 MW December 2027; rest June 2028
Corsicana	910	Same lab	About $28bn over 15 years	About $5.5bn	$1.8bn Riot sitework; $3.6bn reimbursement, 80%-90% LTC debt from 2027 or 12% rent credits	Sept 2027 to July 2028

Dilution and per-share: no equity in 2026 per release; 375.1mn shares. The $594.4mn 0.75% converts (about 40mn shares, $14.86 conversion) are close to the money. Book debt $656.6mn, with only $67.5mn current, and the bridge had $20.8mn principal drawn at 30 September ($12.8mn net), non-recourse, to be repaid from long-term project financing (10-Q). Rate check: 10-Q base rent is $130/kW-month with 3% escalators, which averages about $161 over 15 years and about $26.4bn on a simple start; the stated $28bn implies about $171. The 10-Q runs the term 15 years from Phase 3, so earlier phases pay longer, which explains about $1.2bn on our arithmetic, leaving about $0.4bn; management did not address it. Year-one run-rate on 400 MW is about $624mn. Price: $15.37 close on 4 November (+9.6%), $14.43 at 9:47 ET on 5 November (-6.1%). No bond quote found; market cap about $5.4bn on 375.1mn shares.

8 Monitoring checklist

5 signals: Bridge takeout; counterparty name; Corsicana debt launch; AMD November delivery; liquidity at year-end. Key risks building: One-tenant dependence; liquidity falling while commitments rise. Confirmation signals: Non-recourse debt at or below about 8% to 9% without a parent guarantee [our bar]. Conviction tripwires: ATM use; bridge extended without a takeout; rent credits used at 12% because lenders decline.

Questions for owners (preview questions and how the call answered them)

Question	How the call answered
Riot's funding by quarter; no ATM through 2028? (credit)	Portfolio sources and uses given (about $2.1bn); no quarterly split; ATM not addressed. Riot's share lower than our $1.82bn on base-case debt.
Is the bridge drawn, takeout signed, who backstops Rockdale? (credit)	'High investment-grade counterparty' being finalized; bridge maturity and draw not addressed.
If lenders refuse, 12% rent credits: what do lenders say; any Corsicana credit support? (credit)	Base case debt launches in 2027; credit support not addressed.
$130/kW-month vs $28bn: what explains the gap?	Not addressed.
Termination, assignment and re-letting if the lab fails to pay?	Not addressed; no analyst asked.
Mining after the Rockdale block ends October 2027?	Block not addressed; Corsicana ramp-down around summer 2027.

Read-across for Kona

Corsicana is the closest listed comparison for a model Kona has not priced: powered land, where the tenant owns the modules, at about $6mn per MW and $130/kW-month starting rent, about $178/MWh of IT load before energy on our arithmetic. Kona should price it as a fifth option, copy take-or-pay on all MW regardless of utilization and rent starting within 60 days of delivery, and copy the 12% tenant-funded fallback. Caution: Riot got this with 1 GW of approved power and an entire campus; at tens of MW Kona has less leverage, and the tenant is one lab.